Modi unmoved by protests over electoral controversy

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India
Short-term trajectory:
Long-term trajectory:

Government will defer to supreme court on electoral controversy. Protests calling for Chief Election Commissioner Gyanesh Kumar’s resignation have spread across the country, spearheaded by opposition parties and the Cockroach Janata Party (CJP) youth movement. More demonstrations are expected in the coming days, with the CJP planning a large protest in Delhi on 10 October.

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The controversy centers around Kumar’s conduct in the revision of India’s electoral rolls, known as the Special Intensive Revision (SIR). Under Kumar, the exercise removed more than 130 million names from the voter database—about 13% of India’s electorate—and imposed onerous requirements for their reinstatement. Although SIR was intended as a routine clean-up of the rolls, it was rushed ahead of state elections in 2025 and 2026, leaving several million eligible voters off the lists.
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Opposition parties allege that revising the electoral rolls has benefited the BJP, especially in state elections in Bihar and West Bengal, thereby calling into question the independence of India’s election commission. In addition to Kumar’s removal, they seek the reinstatement of all voters removed during the SIR. However, it is unlikely that the deletion of voters was the decisive factor in either the Bihar or West Bengal vote(see: BJP’s state election victories carry anti-incumbent warning for 2027 , 6 May 2026).
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Despite the protests, Prime Minister Narendra Modi's government is unlikely to seek Kumar's removal or pressure him to resign. Opposition parties also cannot force his ouster. As the chief election commissioner, Kumar is afforded constitutional protections that make his removal lengthy and difficult. The government will instead allow the matter to be resolved by the supreme court, which will next hear the matter on 13 October.

Central bank hikes rates amid inflationary pressures. On 7 October, the Reserve Bank of India (RBI) raised interest rates by 25 basis points to 5.5% after holding them steady since December 2025. The central bank has ruled out any rate cuts in the near term, shifting its stance from "neutral" to "calibrated tightening." Further hikes may be forthcoming at the next two monetary policy meetings in December and February.

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The rate hike was widely anticipated amid inflationary pressures. India's consumer price index stood at 4.8% in August, with projections indicating it climbed to 5.5% in September. The RBI itself expects inflation to peak at 6% in the fourth quarter of the year.

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Inflation is being driven mainly by higher energy prices and a weaker monsoon season, which has pushed up food prices. The RBI initially considered the impact of elevated crude prices on inflation as temporary. However, inflation that was originally concentrated in energy-related sectors has now become generalized and spread to most areas of the economy.

*

Rising US bond yields were a key factor behind the central bank's decision to hike interest rates. Even after the rate hike, the yield spread between Indian and US 10-year treasuries remains at a 22-year low of 1.94%. This has contributed to foreign portfolio investors withdrawing about $30 billion from Indian equities this year. A narrow yield spread also puts pressure on the rupee and risks importing inflation.

*

The RBI is also watching to see if the excess liquidity in the banking sector, created by its concessional dollar-rupee swap facility, which drew $136.4 billion between June and August, could aggravate inflation if it spurs a surge in consumption and credit.

New framework will enable several bilateral investment treaties. Modi's cabinet is expected to approve a new bilateral investment treaty (BIT) template in the coming weeks as the government looks to reverse the declines in net FDI flows and shore up the rupee.

*

The move will pave the way for India to sign BITs with the EU and Canada in conjunction with the free trade agreements India is negotiating with both countries, which remain on course to be concluded by year-end. BITs are also expected with the UK, Australia, and Switzerland, which have already concluded trade deals with India.

*

The new BIT template shortens the path to arbitration—a dispute will only need to go through a year or two of domestic legal proceedings (instead of the original five) before going to international arbitration. However, the template excludes tax disputes and does not automatically extend most-favored-nation protections.

*

It therefore falls short of international standards. However, geopolitical considerations and investment guarantees embedded in the parallel trade agreements will prompt major economies to accept India’s template (see: Geopolitics will drive acceptance of India’s new but still flawed bilateral investment treaty template , 5 October 2026).

Nuclear rules will spur demand for domestic reactors. The final rules and regulations for the Sustainable Harnessing and Advancement of Nuclear Energy for Transforming India (SHANTI) Act are expected to be enacted by the end of the year. Licensing and technical norms will then follow early next year.

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The SHANTI Act, passed late last year, allows private companies to commission nuclear reactors and use the power they generate, though the reactors will remain operationally under the control of the state-owned Nuclear Power Corporation of India.

*

The government hopes to harness private capital to help expand India’s nuclear power capacity from 8 gigawatts to 100 gigawatts by 2047. While the government’s targets are overly ambitious, private investment will give a big boost to new reactor construction. Demand is likely to come from heavy industry and utilities for domestically produced 700-megawatt Pressurized Heavy-Water Reactors.

*

The market is likely to open to foreign firms once small modular reactors (SMRs) become commercially available. Large US tech firms are eyeing SMRs to power their AI data center buildout; however, the Department of Atomic Energy, which retains a high degree of control over the introduction of new technologies, is likely to pose regulatory hurdles for SMRs (see: New nuclear rules will boost domestic reactors over foreign alternatives , 23 September 2026).

Sri Lanka
Short-term trajectory:
Long-term trajectory:

Colombo likely to return to bond markets in 2027. The IMF has expressed its support for Sri Lanka's return to international bond markets next year, earlier than the originally planned timeline of 2028, when it is scheduled to begin payments on its rescheduled bonds. Fitch also upgraded Sri Lanka’s credit rating from CCC+ to B- in September—a vote of confidence for the country’s economic recovery.

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The IMF believes an early return to bond markets will help maintain reform commitments, which include fiscal consolidation, revenue improvements, and structural changes to state-owned enterprises.

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Sri Lanka has been absent from international bond markets since its default in April 2022. A return would provide the government with an additional source of financing and reduce its dependence on bilateral and multilateral lenders. However, officials in the central bank and the finance ministry have yet to reach a decision on the matter.

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On 4 October, Sri Lanka reached a staff-level agreement with the IMF on the seventh review of its $3 billion Extended Fund Facility. Once approved, this will give Colombo access to $345 million, bringing the program's total disbursements to $2.7 billion. The fund praised the government for economic resilience amid external shocks, while highlighting downside risks from the war in Iran, tariffs, and El Niño. Sri Lanka remains on course to conclude its loan facility in March 2027.

Pakistan
Short-term trajectory:
Long-term trajectory:

Islamabad will use proxies to pressure Kabul. With airstrikes in Afghanistan having little effect, Pakistan appears to be turning to proxies to pressure the Taliban regime to rein in its Pakistani affiliate, the Tehreek-e-Taliban Pakistan, and end support for Baloch insurgents. These groups are responsible for most of the recent attacks inside Pakistan.

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There has been a significant increase in anti-Taliban attacks in Afghanistan over the past two months, with several new militant groups emerging. There is indirect evidence that Islamabad is encouraging these attacks. It may also have helped more than 100 Islamic State Khorasan Province fighters cross into Afghanistan in September.

*

Islamabad’s new tactic to pressure the Taliban isn’t likely to dampen the latter's support for Pakistani insurgents. Instead, Kabul is likely to become more directly involved in violence against Pakistan as suspicions grow that Islamabad is sheltering and funding anti-Taliban groups and turning a blind eye to militants crossing the border.

*

An open conflict, however, remains unlikely as both sides face acute economic challenges (see: Islamabad and Kabul will keep conflict confined to proxies , 8 October 2026).

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